

Multiple Choice (10 marks)

1. Tariffs and quotas
 - (a) result in higher domestic prices.
 - (b) promote trade between nations.
 - (c) do not necessarily affect domestic prices.
 - (d) affect domestic prices: the former raises them while the latter lowers them.
2. To deflate nominal gross domestic product (GDP) you must
 - (a) divide nominal GDP by the GDP deflator.
 - (b) multiply real GDP by the GDP deflator.
 - (c) divide real GDP by the GDP deflator.
 - (d) multiply nominal GDP by the GDP deflator.
3. Expansionary fiscal policy would best be prescribed to
 - (a) eliminate a recessionary gap
 - (b) reduce inflation
 - (c) reduce the interest rate
 - (d) eliminate an inflationary gap
4. If, for each additional unit of a variable input, the increases in output become smaller, which of the following correctly identifies the concept?
 - (a) Diminishing marginal productivity.
 - (b) Diminishing marginal utility.
 - (c) Increasing marginal utility.
 - (d) Increasing marginal productivity.
5. Suppose transfer payments are greater than Social Security contributions corporate taxes and retained earnings combined. In that case
 - (a) NDP will be greater than GDP.
 - (b) NI will be greater than GDP.
 - (c) PI will be greater than NI.
 - (d) DPI will be greater than PI.

True / False (10 marks)

Answer True or False

6. True or False: Credit cards are not considered part of the money supply known as M1.
7. True or False: Expansionary fiscal policy causes less crowding out when government spending improves profit expectations among businesses.
8. True or False: At the natural rate of unemployment, there is no structural unemployment affecting the labor market.
9. True or False: An increase in the price level will shift the aggregate demand curve to the right.
10. True or False: Monopolies can set prices freely without affecting the quantity sold, so their marginal cost curve slopes downward.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the concept of monopolistic competition and explain how excess capacity affects firms in such a market structure. Provide examples to support your analysis.
12. Discuss how the purchase of an entertainment system manufactured in China by an American affects U.S. national income accounts, particularly in terms of net exports and GDP.

End of Paper